



DEPARTMENT OF LABOR AND EMPLOYMENT

Division of Family and Medical Leave Insurance

REGULATIONS CONCERNING COORDINATION OF BENEFITS AND REIMBURSEMENT OF ADVANCE PAYMENTS

7 CCR 1107-4

[Editor's Notes follow the text of the rules at the end of this CCR Document.]

4.1 Statements of Authority, Purpose, and Incorporation by Reference

1. This regulation is adopted pursuant to the authority in section C.R.S. § 8-13.3-501 et seq., and is intended to be consistent with the requirements of the State Administrative Procedures Act, C.R.S. § 24-4-101 et seq. (the "APA"), and the Paid Family and Medical Leave Insurance Act, C.R.S. § 8-13.3-501 through 524 (the "FAMLI Act").
2. The general purpose of these rules is to exercise the authority of this Division to enforce and implement the Paid Family and Medical Leave Insurance Act (C.R.S. § 8-13.3-501 et seq.) with regard to coordination of benefits and reimbursement of advance payments.
3. If any part of these rules is held invalid, the remainder shall remain valid, and if any part is held not wholly invalid, but in need of narrowing, it will be retained in narrowed form.

4.2 Definitions and Clarifications

1. Unless otherwise indicated, terms used here that are defined in the FAMLI Act have the same definition as they do under the FAMLI Act.
2. "Employer-provided paid leave" means vacation leave, paid sick leave, paid personal leave, and any other employer-paid time off. Employer-provided paid leave does not include benefits under a short-term disability policy, long-term disability policy, or a separate bank of time off solely for the purpose of paid family and medical leave.
3. "Health care benefits" as used at C.R.S. § 8-13.3-509(2) means benefits provided to an employee by an employer related to the improvement or maintenance of the employee's health or the employee's family members' health, including but not limited to:
 - A. Health insurance;
 - B. Dental insurance;
 - C. Vision insurance; and
 - D. Mental health, counseling, and addiction services.
4. "Paid sick leave" has the same meaning as in C.R.S. § 8-13.3-402(8).

5. "Separate bank of time off solely for the purpose of paid family and medical leave" means time off provided by an employer which may only be used for a purpose listed in C.R.S. § 8-13.3-504(2), including but not limited to, paid parental leave, and paid leave under C.R.S. § 24-34-402.7, and is separate from employer-provided paid leave defined in Section 4.2.2 of these rules.
6. No benefits received by an individual impact their eligibility for family and medical leave insurance benefits except for unemployment insurance benefits and workers' compensation benefits, as described in this rule.
7. An employer may require an employee to exhaust any available FAMLI leave as a condition to access short term disability benefits, long term disability benefits, or any other separate bank of leave for the purpose of family and medical leave. Whether an employer does require any such exhaustion is governed by the terms of the benefits policy. However, an employer cannot require the employee to exhaust available FAMLI leave or begin FAMLI leave as a condition to access leave that it is otherwise required to provide, like leave under the federal "Family and Medical Leave Act," paid sick leave mandated by the Colorado Healthy Families and Workplaces Act, or any other leave to which the employee is entitled under the terms of its policy.

4.3 FAMLI Benefits and Workers' Compensation Benefits

1. Benefits under the FAMLI Act and its implementing regulations are separate benefits claims from benefits under the Workers' Compensation Act of Colorado, C.R.S. § 8-40-101 et seq. or its implementing regulations (the "Workers' Compensation Act"). Regardless of an individual's status as a covered individual, if an absence from work is due to circumstances that would entitle an individual to temporary total or partial indemnity benefits under the Workers' Compensation Act, the individual is not entitled to family and medical leave insurance benefits for that absence.
2. An individual applying for family and medical leave insurance benefits must disclose whether their serious health condition was caused by or otherwise related to a workplace injury or illness.
3. Health care providers, in completing a "Serious Health Condition Certification - Self Form," must disclose any information or belief that the individual's serious health condition was caused by or otherwise related to a workplace injury.
4. If either the individual applying for family and medical leave insurance benefits or the health care provider completing the "Serious Health Condition Certification - Self Form" indicates that the individual's serious health condition was caused by or otherwise related to a workplace injury, then the application for benefits will be denied unless the individual submits proof that they are either ineligible or no longer eligible for temporary total or partial indemnity benefits under the Workers' Compensation Act. The Division will accept and review the following documents as evidence an individual is not eligible or is no longer eligible for temporary total or partial indemnity Workers' Compensation benefits:
 - A. A Final Admission of Liability with a mailing date that is at least 30 days prior to the benefit start date;
 - B. A Final Order by an Administrative Law Judge showing temporary total or partial indemnity benefits under Workers Compensation Act have been denied or are no longer being paid; or
 - C. A Notice of Contest issued to the claimant by a Workers' Compensation insurer.
5. An individual must notify the FAMLI Division if they receive any benefits under the Workers' Compensation Act during a period of family and medical leave and may be required to complete a release for records relating to the workers' compensation injury.

6. If an individual is paid or entitled to receive any temporary total or partial indemnity benefits under the Workers' Compensation Act during a period of family and medical leave, then any wage replacement benefits paid or owed to the individual in association with the same job and the same time missed as the temporary indemnity benefits under the Workers' Compensation Act will be considered an overpayment of family and medical leave insurance benefits.
7. The Division may recover an overpayment of paid family and medical leave insurance benefits due to an individual's entitlement to receive temporary total or partial indemnity benefits under the Workers' Compensation Act during a period of family and medical leave from either the individual overpaid or directly from the Workers' Compensation insurer that awarded the benefits.
8. An individual's failure to disclose either a workplace injury related to an application for family and medical leave insurance benefits, or the receipt of benefits under the Workers' Compensation Act related to an injury that is related to the receipt of family and medical leave insurance benefits, may constitute grounds for disqualification of benefits pursuant to C.R.S. § 8-13.3-513.

4.4 FAMLI Benefits and Unemployment Insurance Benefits

1. Benefits under the FAMLI Act and its implementing regulations do not run concurrently with benefits under the Colorado Employment Security Act, C.R.S. § 8-70-101 et seq., or its implementing regulations ("CESA").
2. Regardless of an individual's status as a covered individual, the individual is not entitled to family and medical leave insurance benefits for any hours the individual receives unemployment benefits pursuant to CESA for the same job.
3. An individual must notify the FAMLI Division if they apply for or receive any benefits under CESA during a period of family and medical leave.
4. If an individual is paid any benefits under CESA during a period of family and medical leave, then any family and medical leave wage replacement benefits paid to the individual for the same job during the same period of leave as the benefits received under CESA will be considered an overpayment.
5. An individual's failure to disclose either the application for or the receipt of benefits under CESA during any period of family and medical leave may constitute grounds for disqualification of benefits pursuant to C.R.S. § 8-13.3-513.

4.5 FAMLI Benefits and Employer-provided Paid Leave

1. The FAMLI Act and its implementing regulations do not entitle an employee to receive both wage replacement benefits under the FAMLI Act and employer-provided paid leave for the same hours absent, except that pursuant to C.R.S. § 8-13.3-510(1)(c), an employer and an employee may mutually agree that the employee may use any accrued employer-provided leave as a supplement to family and medical leave insurance benefits in an amount not to exceed the difference between the individual's wage replacement benefits under the FAMLI Act and the individual's average weekly wage.
 - A. If employer-provided paid leave is used to supplement FAMLI wage replacement benefits, the employer may: (1) convert the dollar amount of the supplement into the corresponding number of employer-provided paid leave hours; and (2) subtract those hours from the employee's balance of accrued and unused employer-provided leave.

- B. The use of employer-provided paid leave to supplement FAMILI wage replacement benefits requires mutual agreement between the employer and the employee. If either the employer or the employee does not so mutually agree, employer-provided paid leave may not be used to supplement FAMILI wage replacement benefits. Any such agreement must be in writing and must be retained by the employer. The employer may rely on one written agreement per employee that covers all future supplements, so long as the terms of the agreement expressly provide that it is revocable by the employee.
 - C. Mutual agreement between the employer and the employee is not necessary in order for an employee to use paid sick leave prior to receiving family and medical leave insurance benefits.
- 2. If an individual receives both wage replacement benefits under the FAMILI Act and employer-provided paid leave for the same hours absent, and the employer and the employee have mutually agreed to supplement FAMILI wage replacement benefits with employer-provided leave, then any employer-provided paid leave in excess of the amount authorized by Section 4.5.1 of these rules is an overpayment that the employer may recoup.
- 3. If an individual receives both wage replacement benefits under the FAMILI Act and employer-provided paid leave for the same hours absent, and the employer and the employee have not mutually agreed to supplement FAMILI wage replacement benefits with employer-provided leave, then any employer-provided paid leave for the same hours absent is an overpayment that the employer may recoup.
- 4. In the event of an overpayment pursuant to either Sections 4.5.2 or 4.5.3 of these rules:
 - A. The employer may recoup the overpayment by any legal means, including via one or more lawful deductions in accordance with C.R.S. § 8-4-105;
 - B. The employer must replenish the employee's bank of accrued employer-provided paid leave in an amount equal to the overpayment amount if the employee requests it or if the employer chooses to recoup the overpayment; and
 - C. If the employer-provided paid leave so recouped as an overpayment is paid sick leave, an employer's failure to replenish the employee's bank of paid sick leave in accordance with Section 4.5.4.B of these rules shall constitute a violation of the Healthy Families and Workplaces Act, C.R.S. § 8-13.3-401 et seq ("HFWA").
- 5. To the extent possible, the FAMILI Act and its implementing regulations shall not be read to reduce rights under HFWA and its implementing regulations, and HFWA and its implementing regulations shall not be read to reduce rights under the FAMILI Act and its implementing regulations.
- 6. If the Division determines that an employer has violated C.R.S. § 8-13.3-510(1)(c) or Section 4.5 of these rules, the Division may assess upon the employer a fine of up to \$50.00 per employee per day.

4.6 Employer-provided benefits during paid family and medical leave

- 1. The FAMILI Act and its implementing regulations only require an employer to maintain health care benefits in accordance with C.R.S. § 8-13.3-509(2), and do not entitle an employee to the continued accrual of employer-provided leave or any other benefits during a period of family and medical leave.

2. With regard to a covered individual's obligation to pay their share of the cost of health benefits pursuant to C.R.S. § 8-13.3-509(2), the employer may collect such payment via:
 - A. Lawful deductions from employer-provided paid leave used to supplement FAMLI wage replacement benefits, in accordance with C.R.S. § 8-4-105;
 - B. Lawful deductions from wages paid upon the employee's return to work, in accordance with C.R.S. 8-4-105;
 - C. A repayment plan entered into by the employer and the employee; or
 - D. Any other legal means.
3. Pursuant to C.R.S. § 8-13.3-509(8), if a local government employer has declined coverage pursuant to C.R.S. § 8-13.3-522, FAMLI does not require the local government employer to maintain health care benefits during a period of family and medical leave for its employees who elect coverage pursuant to C.R.S. § 8-13.3-514.
4. If an employer and an employee mutually agree to supplement FAMLI wage replacement benefits with paid sick leave, then the extent to which the employer must maintain benefits beyond the requirements in C.R.S. § 8-13.3-509(2) and Rules 4.6.1 and 4.6.2 is governed by HFWA.
5. If the Division determines that an employer has violated C.R.S. § 8-13.3-509(2) or Section 4.6 of these rules, the Division may assess upon the employer a fine of up to \$500.00 per employee, per day the employer failed to maintain health care benefits.

4.7 FAMLI Benefits, short-term disability benefits, long-term disability benefits, and benefits from a separate bank of time off solely for the purpose of paid family and medical leave

1. If family and medical leave is taken for a reason that also qualifies for benefits from a short-term disability policy, long-term disability policy, or a separate bank of time off solely for the purpose of paid family and medical leave offered by the employer, then so long as the employer satisfies the notice requirement of C.R.S. § 8-13.3-510(1)(b), the employer may count both the wage replacement amount and the duration of the family and medical leave against the remaining benefit amounts and leave duration provided under such policy or bank of time. The employer or policy may not count either the wage replacement amount or duration of the paid family and medical leave taken under FAMLI against past or future balances under such policy or bank of time.
2. If the employer requires family and medical leave insurance benefits to run concurrent with its short-term or long-term disability benefits, then the terms of the short-term or long-term disability policy shall govern whether the employer, the employee, or both must notify the policy's program administrator of concurrent paid family and medical leave insurance benefits received by the employee.
3. If the employer and the employee mutually agree that the employee may use short-term disability benefits, long-term disability benefits, and benefits from a separate bank of time off solely for the purpose of paid family and medical leave as a supplement to family and medical leave insurance benefits, the same rights and requirements described in Section 4.5 of these rules shall apply.

4. No individual is required to apply for or exhaust short-term disability benefits, long-term disability benefits, or benefits from a separate bank of time off solely for the purpose of paid family and medical leave as a condition to access paid family and medical leave benefits under either the state plan or an approved private plan. Any action by an employer, insurer, or leave administrator requiring behavior contrary to this rule is a violation of this rule and constitutes unlawful interference.
5. If the Division determines that an employer has violated C.R.S. § 8-13.3-510(1)(b) or Section 4.7 of these rules, the Division may assess upon the employer a fine of up to \$500.00 per violation.

4.8 FAMLI Benefits and the FMLA and the Family Care Act

1. As provided in C.R.S. § 8-13.3-510(1)(a), leave taken with wage replacement under the FAMLI Act that also qualifies as leave under the "Family and Medical Leave Act," as amended, Pub. L. 103-3, codified at 29 U.S.C. sec. 2601 et. seq., or part 2 of article 13.3 of title 8 runs concurrently with leave taken under the "Family and Medical Leave Act" or part 2 of article 13.3 of title 8, as applicable.
2. If the qualifying reason for family and medical leave does not constitute a qualifying reason for leave under the Family and Medical Leave Act, then the extent to which family and medical leave runs concurrently with leave taken under the Family and Medical Leave Act, if at all, is governed by the Family and Medical Leave Act and its implementing regulations.
3. If an employee requests leave under the Family and Medical Leave Act, the employer must notify the employee that they may be eligible for leave under the FAMLI Act.

4.9 Benefit Coordination Between Plans Providing Paid Family and Medical Leave Benefits

1. To allow for continuity of benefits for individuals covered under FAMLI or a private plan, when an employer changes plans, the previous plan is required to continue paying all leave (continuous, intermittent and reduced leave schedules) with a benefit start date prior to the date an employer changes plans through the duration previously approved or until a recertification is required, after which the claimant may reapply for benefits with their new plan. The previous plan must also adjudicate and pay any approved claims submitted retroactively within the application and filing timeframes set forth in 7 CCR 1107-3, Section 3.6. However, the previous plan does not have to pay pre-approved claims that did not have a benefit start date before the change in plans, and does not have to continue to pay benefits where the provisions of 7 CCR 1107-3, Section 3.4.1 provide for the termination of approved leave.
2. If an individual has multiple jobs and is covered under multiple plans, each plan must calculate benefits based on leave taken under that plan, but proportionate to the covered individual's aggregate regular work schedule pursuant to 7 CCR 1107-3 so that total benefits do not exceed the maximum weekly benefit provided by C.R.S. § 8-13.3-506(1)(b), and total duration does not exceed the number of weeks provided by C.R.S. § 8-13.3-505(1).

4.10 Reimbursement of Advance Payments by Employers

1. An employer may qualify for a reimbursement of advance payments made to an employee when:
 - A. The employer pays FAMLI wage replacement benefits in advance of an adjudication decision without using any employer-provided paid leave;
 - B. The employee applies for family and medical leave insurance benefits; and

- C. The employer requests reimbursement from the Division prior to the Division's payment of benefits to the employee.
- 2. Any wage replacement benefits awarded pursuant to such an application are paid directly to the employer, not to the employee.
- 3. An employer assumes the risk that an employee for whom it paid FAML I wage replacement benefits in advance will not apply for family and medical leave insurance benefits, that the FAML I Division will award wage replacement benefits in an amount less than that which the employer advanced to the employee, or that the FAML I Division will award no wage replacement benefits.
- 4. If an employer is not reimbursed, or is reimbursed an amount less than that which it paid an employee, it may not recoup from the employee the difference between the amount it paid and the amount it was reimbursed.
- 5. An employer's prepayment of benefits does not modify the appeal rights or procedures described in 7 CCR 1107-9.
- 6. An employer must verify to the Division that it proactively paid the employee a payment designated as a family and medical leave benefit consisting of partial or full wage replacement prior to receiving reimbursement.

4.11 Language Accessibility

The Division will make reasonable efforts to make forms and communications under this rule available in English and Spanish. If an individual's primary language is neither English nor Spanish, the Division will make a reasonable attempt to accommodate that individual's language needs, subject to the Division's sole discretion based on available resources.

Editor's Notes

History

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Rule 4.1, 4.2 7, 4.3 1, 4.7, 4.9 1 eff. 01/01/2026.